Introduction to Economics

Class 14 — Monopolistic competition; problems on Blocks 3–4

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Plan for today

- Monopolistic competition: many sellers, each a little different
- A coworking space in the short run and the long run
- Why firms advertise
- Problems on Blocks 3–4: a tax; a price taker's costs
- An external cost; a price cap

Warm-up: a riding school's money flows

A riding school near a town

1. The field its horses graze, rented from a farming family: which factor, and its payment?

2. It builds new stables: a leakage or an injection?

3. It pays a tax on its profit: a leakage or an injection?

In pairs, two minutes: three answers.

Land, labour, capital: what households supply (class 3, slide 22) · some income leaks out, spending is injected back (class 3, slide 23).

Warm-up: who should make the feeders?

Two workshops make birdhouses and bird feeders

hours for one	birdhouse	feeder
Fusta	2	1
Escaire	6	2

1. Who has the absolute advantage in both?
2. Who should make the feeders?
3. They swap 1 birdhouse for 2.5 feeders: do both gain?

In pairs, two minutes: three answers.

Comparative advantage: the lower opportunity cost (class 3, slide 18).

Advertising in Spain: how much a year?

Revealed in class

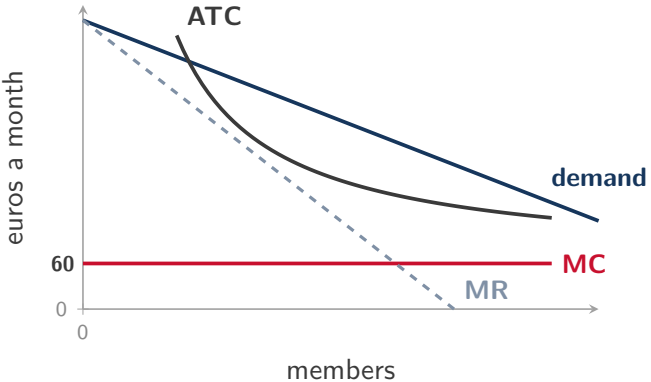
Guess before class: how many euros a year are spent on advertising in Spain, per person living here? 2.60, 26, 260 or 2,600?

Monopolistic competition: many sellers, each a little different, and anyone can open one

	Perfect competition (class 12)	Monopolistic competition (today)	Monopoly (class 13)
Sellers	many	many	one
Product	identical	each a little different	no close substitute
Entry	free	free	blocked
One firm's demand	flat at the price	slopes down	the whole market's

Price taker: sells all it wants at the market price (class 12, slide 6) · monopoly: the only seller, no close substitute (class 12, slide 20).

A coworking space in the short run: how many members, at what price?



60 desks

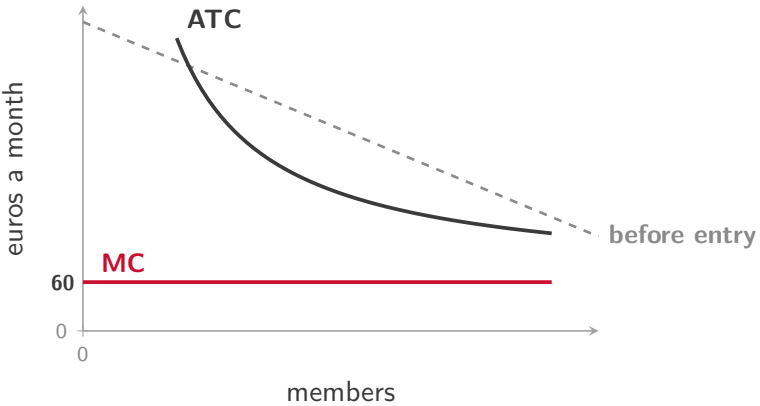
rent, furniture and the owner's time: 3,600 a month

each member costs 60 a month

Marginal revenue (MR): what one more member adds to revenue (class 13, slide 4).

Average total cost (ATC): total cost ÷ members (class 11, slide 10) · MC: marginal cost.

When new spaces open: what happens to each one's demand?



Profit here is economic profit: every cost counted, the owner's own time included (class 11, slide 6).

Revealed in class

Compare with class 12, slide 18: where does a price taker end up in the long run?
Reading pp. 270–271.

Why do firms advertise?

Revealed in class

Reading pp. 272–276: the critique and the defence of advertising, and of brand names.
What is one more customer worth to a firm whose price is above its marginal cost?

In pairs, four minutes: a physiotherapy clinic

One of many clinics in town. Each session costs it 25 (the physio's pay, towels); the room's rent is 200 a week.

sessions a week	10	20	30	40	50
price a session, now (euros)	50	45	40	35	30
price after new clinics open	40	35	30	25	20

1. Its best number of sessions and price now?
2. Its profit a week now?
3. After new clinics open: sessions, price, profit?
4. In the long run, is its price above MC?

In pairs, four minutes: four answers.

MR per session: the extra revenue of ten more sessions ÷ 10 (class 13, slide 4).

The coworking space: which curve moves? (optional)

The coworking space after entry (slide 8)

1. It raises its price to 220 a month. Which curve moves?

2. A new space opens in the same street.

3. Its rent rises by 600 a month.

In pairs, two minutes: three answers.

A price change moves along the demand curve (class 5, slide 10).

Break

Ten-minute break

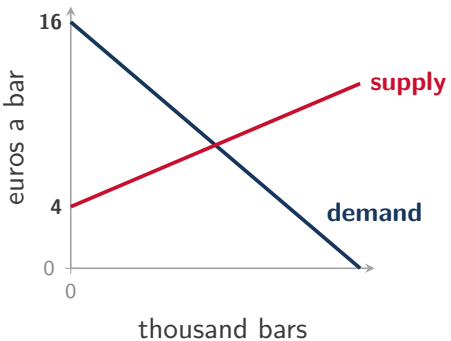
Problems on Blocks 3 and 4: in pairs, the answer after each

1	A tax on a market	(classes 8–9)
2	A price taker's costs	(classes 11–12)
3	An external cost	(class 10)
4	A price cap	(class 9)

In pairs, four minutes: a tax on turrón

A city's turrón in December: demand $P = 16 - Q/5$, supply $P = 4 + Q/10$ (Q thousand bars, P euros a bar).

1. The equilibrium, and the consumer surplus?
2. A tax of 3 euros a bar, paid by the sellers: which curve moves?
3. Bars sold; the price buyers pay; the price sellers keep?



In pairs, four minutes: three answers.

Consumer surplus: value minus price, the area under demand above the price (class 8, slide 6).

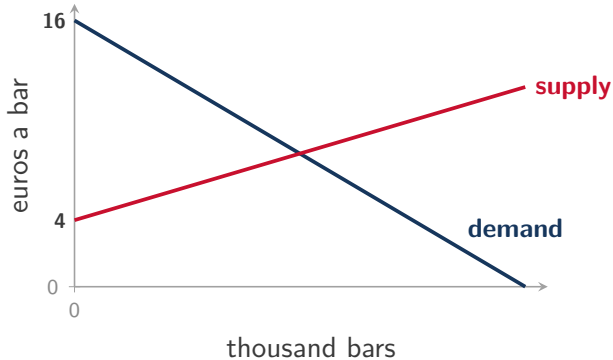
Problem 1, continued: who bears the tax, and what is lost?

Same market, with the tax of 3 euros a bar.

4. Who bears more of the 3 euros, and why?

5. The tax revenue?

6. The deadweight loss?



In pairs, two minutes: three answers.

Deadweight loss: surplus lost on trades that no longer happen (class 8, slide 17).

In pairs, five minutes: a pomegranate farm

It sells crates at the market price. Its total cost a day:

crates a day	0	1	2	3	4	5	6
total cost (euros)	48	60	72	84	100	120	150
marginal cost							

1. The marginal cost of each crate?
2. At 28 euros a crate: how many crates, what profit?
3. Below which price does it harvest nothing (shut down for now)?
4. With free entry, the long-run price?

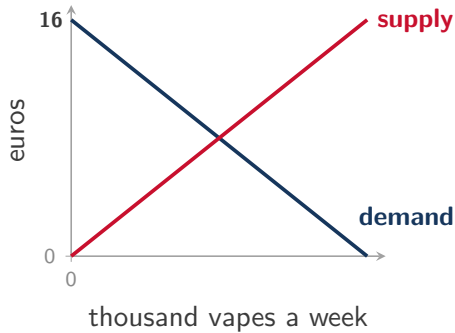
In pairs, five minutes: four answers.

Average variable cost (AVC): variable cost ÷ crates · ATC: total cost ÷ crates (class 11, slides 9–10).

In pairs, four minutes: disposable vapes

A city's market: demand $P = 16 - Q/2$, supply $P = Q/2$ (Q thousand vapes a week, P euros). Each thrown-away vape's battery costs the city 2 euros to clean up.

1. How many vapes are sold, at what price?
2. The efficient number?
3. The tax that gets there; the loss without it?



In pairs, four minutes: three answers.

External cost: a cost that falls on people outside the deal (class 10, slide 6).

In pairs, three minutes: prawns at Christmas

A city's prawns in Christmas week (tonnes):

price (euros a kilo)	20	25	30	35
households want	60	50	40	30
caterers want	100	70	40	10
fishmongers offer	40	60	80	100

1. Market demand at each price?
2. The equilibrium?
3. A cap of 20 euros a kilo: tonnes sold; shortage?

In pairs, three minutes: three answers.

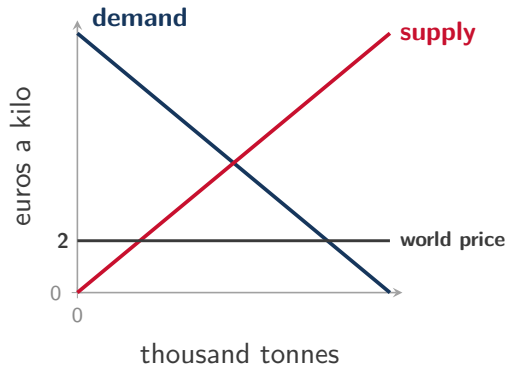
Market demand: add the buyers' quantities at each price (class 5, slide 11).

Price cap: a legal maximum price (class 9, slide 11).

A tariff on quinoa (optional)

A small country: home demand $Q = 100 - 10P$, home supply $Q = 10P$ (thousand tonnes; P euros a kilo). World price: 2 euros.

1. At the world price: home growers sell? Imports?
2. A tariff of 1 euro a kilo: imports; its revenue?
3. The surplus the country loses?



In pairs, three minutes: three answers.

Small country: it buys any amount at the world price (class 9, slide 18).

Adverts: positive or normative? (optional)

1. "Betting adverts on TV raise how much young people bet."
2. "Betting adverts should be banned."
3. Two economists both want cheaper shopping. One would limit adverts; the other says adverts help new firms enter. What do they disagree about?

In pairs, two minutes: three answers.

Positive: a claim evidence can test · normative: a claim about what should be (class 4, slide 7).

Monopolistic competition: many sellers, each a little different, free entry.

Short run: like a monopoly.
Long run: entry until profit is zero.

Even then the price stays above MC, and capacity is left unused.

Before Monday 16 November

- Monday 16 November: review for Midterm 1 (Blocks 1–4), the full two hours
- Thursday 19 November: Midterm 1 (Blocks 1–4), in class
- Practise in Sextant: the units the course page lists



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